Module 22.1: Corporate Governance

SCHWESERNOTES - BOOK 1

LOS 22.a: Describe the principal-agent relationship and conflicts that may arise between stakeholder groups.

When one party hires another to carry out a task, the two parties are said to have a **principal-agent relationship**. In such a relationship a **principal-agent conflict** has the potential to arise, because an agent is hired to act in the interests of the principal, but an agent's interests might not coincide exactly with those of the principal.

For example, consider an insurance agent who is paid a commission on policies written. It would be in the agent's interest to write insurance policies on people or property that are not good risks to maximize commission income. The principal (the owner of the insurance company) does not want to issue policies that are bad risks, as that is a money-losing proposition. Insurance companies mitigate this conflict by imposing underwriting standards for the policies they will issue and by continuing to work only with agents who consistently act in the company's best interest.

Agency costs are the costs of a principal-agent conflict. Agency costs can be direct, such as hiring employees to monitor the agent, or indirect, such as the opportunity cost of lost business.

Conflicts of Interest Between Shareholders and Managers or Directors

In the context of a corporation, shareholders are the principals (owners), and firm management and board members (directors) are their agents. Managers and directors may choose a lower level of business risk than shareholders would. Managers have their employment income tied to the firm and stand to lose it, should the firm fail. Shareholders can diversify their portfolios cheaply, and as such might prefer that individual companies take more risk.

Conflicts may arise if inside directors favor management interests at the expense of shareholder interests, or if directors favor one group of shareholders at the expense of another. Some conflicts result from **information asymmetry** between shareholders and managers, which refers to the fact that managers have more and better information about the functioning of the firm and its strategic direction than shareholders do. This decreases the ability of shareholders or nonexecutive directors to monitor and evaluate whether managers are acting in the best interests of shareholders. Information asymmetry is more acute for larger companies that operate in many businesses and geographical markets, companies that sell complex products, and companies with lower levels of institutional ownership and free float.

Common principal-agent conflicts arise in the following ways:

- Managers may put in insufficient effort. This leads to poor evaluation of investment opportunities and risks taken, resulting in overall higher total costs.
- Managers getting option grants may want to ratchet up risk because options do not have any downside risk. On the other hand, managers who are compensated primarily with cash may be inadequately motivated to take risk.
- Manager compensation tied to company size creates incentives for **empire building** through poor or unnecessary acquisitions.
- Managers may seek to entrench themselves by taking inadequate risk, mimicking competitors' actions rather than generating original ideas, or engaging in otherwise unprofitable projects that require their specific individual knowledge. Directors, in turn, might seek to entrench themselves by going along with management's decisions instead of questioning them.
- Managers may undertake **self-dealing** by exploiting firm resources for personal benefit.

Conflicts Between Groups of Shareholders

A single shareholder or group of shareholders in a company may hold most of the votes (**controlling shareholders**) and act against the interests of the **minority shareholders**. A controlling shareholder may have concentrated ownership, in that a large proportion of his or her wealth might consist of shares in this company. In this situation a controlling shareholder might want the company to diversify into different businesses to mitigate risk. Minority shareholders, by contrast, might already hold diversified portfolios and do not want the company to squander resources by investing in a less desirable business just to diversify.

Some firms have a **dual-class structure** with different classes of common stock outstanding, some with more voting power than others. This can give a group of shareholders (e.g., the company's founders) effective control of the company even if they have claims to less than 50% of its earnings and assets. CFA Institute advocates against dual-class voting structures because they allow one group of shareholders to further their interests at the expense of other groups.

Conflicts of Interest Between Creditors and Shareholders

Shareholders may prefer more business risk than creditors do because creditors have a limited upside from good results compared to shareholders. Management actions that favor the interests of equity owners over the interests of creditors include issuing new debt that increases the default risk faced by existing debtholders, or increasing dividends at the cost of decreasing company assets as collateral and increasing the risk of default. This potential for conflict is a greater risk for long-term debtholders.

LOS 22.b: Describe corporate governance and mechanisms to manage stakeholder relationships and mitigate associated risks.

Corporate governance is the system of internal controls and procedures by which individual companies are managed. It includes a framework that defines the rights, roles, and responsibilities of various groups within an organization. The objective is to manage and minimize conflicts of interest between stakeholders of the company.

Stakeholder management refers to the management of company relations with stakeholders and is based on having a good understanding of stakeholder interests and maintaining effective communication with stakeholders. With respect to the company's relationship with shareholders, there are standard practices. These practices are required by corporate laws and are similar in many jurisdictions, although there are some differences across countries.

Stakeholders gather information about the company from public reports filed by the company. Public companies release information in annual reports, proxy statements, and public notices. This reporting includes information about the financial performance and standing of the company, related-party transactions, executive remuneration, and governance structure. While reporting requirements for private companies are more limited, these companies typically provide information to their investors directly. Transparency in reporting reduces information asymmetry and allows stakeholders to evaluate whether the company's actions align with their interests.

Shareholder Mechanisms

Corporations typically hold an **annual general meeting** after the end of the firm's fiscal year. At the general meeting, company management provides shareholders with the audited financial statements for the year, addresses the company's performance and significant actions over the period, and answers shareholder questions.

Corporate laws dictate when the annual general meeting must occur and how the meeting must be communicated to shareholders. Typically, anyone owning shares is permitted to attend the annual general meeting, to speak or ask questions, and to vote their shares. A shareholder who does not attend the annual general meeting can vote her shares by **proxy**, meaning she assigns her right to vote to another person who will attend the meeting—often a director, a member of management, or the shareholder's investment advisor. A proxy may specify the shareholder's vote on specific issues or leave the vote to the discretion of the person to whom the proxy is assigned.

Ordinary resolutions, such as the approval of an auditor and the election of directors, require a simple majority of the votes cast. Other resolutions are addressed at **extraordinary general meetings**, which can be called any time a matter requires a shareholder vote. Examples include amendments to the company's bylaws, a merger or takeover, a shareholder-proposed special board election, or the liquidation of the firm.

Activist shareholders pressure companies in which they hold a significant number of shares for changes they believe will increase shareholder value. They may initiate shareholder lawsuits or seek representation on the board of directors. Other activist tactics include proposing shareholder resolutions for a vote and raising their issues to all shareholders or the public to gain wider support. Hedge funds have engaged increasingly in shareholder activism at firms in which they hold significant stakes.

A shareholder activist group may initiate a **proxy contest**, in which they seek the proxies of shareholders to vote in favor of their alternative proposals, or may make a **tender offer** for enough shares of a company to gain control. Both senior managers and boards of directors can be replaced by shareholders when they believe company performance is poor and would be improved by change. The threat of a **hostile takeover**, one not supported by the company's management, can act as an incentive for company managements and boards to pursue policies better aligned with the interests of shareholders. On the other hand, it might also cause the current management or board to adopt takeover defenses such as staggered board elections or **poison pill** provisions (low-price additional share offerings to current shareholders).

Creditor Mechanisms

When a company issues a bond, it specifies the rights of bondholders and the company's obligations in a legal document called a **bond indenture**. An indenture typically includes **covenants** that may require the company to take certain actions, or restrict it from taking certain actions. A bond can be backed by **collateral**, which is a specific asset pledged against which the bondholders will have a claim if the company defaults on the bond. A financial institution may act as a trustee to monitor the company's compliance with its bond covenants.

Creditor committees may form among bondholders to protect their interests when an issuer experiences financial distress. Some countries require such committees when a company files for bankruptcy. A group of bond investors may form an **ad hoc committee** when a company is struggling to meet its obligations. While the committee does not represent *all* the bondholders, their interests are generally aligned.

Board of Directors and Management Mechanisms

The **board of directors** is elected by shareholders to act in their interests. A board of directors typically has committees made up of board members with particular expertise. These committees report to the board, which retains the overall responsibility for the various board functions. The following are examples of typical board committees.

An **audit committee** is responsible for the following:

- Oversight of the financial reporting function and implementation of accounting policies
- Effectiveness of the company's internal controls and the internal audit function
- Recommending an independent external auditor and its compensation
- Proposing remedies based on their review of internal and external audits

A **nominating/governance committee** is responsible for the following:

- Oversight of the company's corporate governance code including board elections
- Setting policies for nomination of candidates for board membership
- Implementing the company's code of ethics and policies regarding conflicts of interest
- Monitoring changes in relevant laws and regulations
- Ensuring that the company is in compliance with all applicable laws and regulations, as well as with the company's governance policies

A **compensation committee** or **remuneration committee** recommends to the board the amounts and types of compensation to be paid to directors and senior managers. This committee may also be responsible for oversight of employee benefit plans and evaluation of senior managers. Because managers should not be in a position to evaluate or compensate themselves, a compensation committee should (and in many countries is required to) be composed of independent directors only.

Other committees are industry specific. A risk committee (financial services industry) informs the board about appropriate risk policy and risk tolerance of the organization, and it oversees the enterprise-wide risk management processes of the organization. An investment committee (insurance industry) reviews and reports to the board prudent investment and capital management policies.

The number and size of board committees will depend on the size, complexity, and nature of the business. Regulations often require that firms have audit committees. The composition of a board committee is often based on its function, with audit committees, compensation committees, and governance committees often made up of only nonexecutive or independent directors.

Employee, Customer, and Supplier Mechanisms

Labor laws, employment contracts, and the right to form unions are the primary mechanisms for employees to manage relationships with employers. Some countries have laws that require boards of large companies to include employee representatives. **Employee stock ownership plans (ESOPs)** may help align company and employee interests. For customers and suppliers, contracts tend to be the mechanism through which they manage their relationships with companies. In recent years, customers and other stakeholders have increasingly used social media as a mechanism to influence company behavior.

Government Mechanisms

Governments enact and enforce regulations that govern companies' actions. They often do so by establishing agencies to regulate industries or sectors such as financial markets, or by monitoring specific issues such as workplace safety and environmental protection. In some countries, regulators develop corporate governance codes that companies must either adopt or explain why they have not done so. In some countries, corporate governance regulations are specified by stock exchanges as part of their listing requirements.

LOS 22.c: Describe potential risks of poor corporate governance and stakeholder management and benefits of effective corporate governance and stakeholder management.

Risks of Poor Governance and Stakeholder Management

When corporate governance is weak, the control functions of audits and board oversight may be weak as well. The risk is that some stakeholders can gain an advantage, to the disadvantage of other stakeholders. Accounting fraud, or simply poor recordkeeping, will have negative implications for company performance and value.

When governance is weak and managers are not monitored, they may serve their own interests by choosing less-than-optimal risk, reducing company value. Without proper monitoring and oversight, management may be given incentive compensation that allows them to pursue their own benefit rather than the company's interests. They may engage in related-party transactions that benefit their friends or family, to the detriment of shareholders.

Poor compliance procedures with respect to regulation and reporting can easily lead to legal and reputational risks. Violating stakeholder rights can lead to stakeholder lawsuits. Failure to comply with government regulations can damage company reputation. Failure to manage creditors' rights well can lead to debt default and bankruptcy.

Benefits of Effective Governance and Stakeholder Management

Effective corporate governance can improve operational efficiency by ensuring that management and board member incentives align their interests well with those of the shareholders. Effective governance implies effective control and monitoring. Just as weak control can lead to abuses, a strong system of controls and compliance with laws and regulations can avoid many legal and regulatory risks.

Formal policies regarding conflicts of interest and related-party transactions can also lead to better operating results. Proper governance with respect to the interests of creditors can reduce the risk of debt default or bankruptcy, thereby reducing the cost of debt financing. Alignment of management interests with those of shareholders leads to better financial performance and greater company value.

Reading 22: Key Concepts

SCHWESERNOTES - BOOK 1

LOS 22.a

The principal-agent relationship refers to owners employing agents to act in their interests. Conflicts can arise because the agent's incentives may not align with those of the owner or, more generally, because the interests of one group within a corporation are not the same as those of other groups.

LOS 22.b

Corporate governance refers to the internal controls and procedures of a company that delineate the rights and responsibilities of various groups, and how conflicts of interest among the various groups are to be resolved.

Shareholders, creditors, boards of directors, employees, customers, suppliers, and governments have different mechanisms with which to manage their stakeholder relationships with companies.

Proxy voting is the primary shareholder mechanism. Shareholders can remove senior managers and boards of directors if they believe company performance would improve with a change. Activist shareholders may engage in proxy contests or hostile takeovers.

Creditor mechanisms include bond indentures and creditor committees. Employee mechanisms include labor laws and unions. Contracts are the primary mechanism for customers and suppliers. Governments may enact regulations or appoint regulatory agencies.

Duties of a board of directors include the following:

- Selecting senior management, setting their compensation, and evaluating their performance
- Setting the strategic direction for the company
- Approving capital structure changes, significant acquisitions, and large investment expenditures
- Reviewing company performance and implementing any necessary corrective steps
- Planning for continuity of management and the succession of the CEO
- Establishing, monitoring, and overseeing the firm's internal controls and risk management
- Ensuring the quality of the firm's financial reporting and internal audit

LOS 22.c

The risks of poor governance include weak control systems, poor decision-making, legal risk, reputational risk, and default risk. Good corporate governance can improve operational efficiency and performance, reduce default risk, reduce the cost of debt, improve financial performance, and increase firm value.